BUSFIN 8200: Asset Pricing Foundations
Problem Set 2

October 20, 2026

Question 1

Question 2

2a)

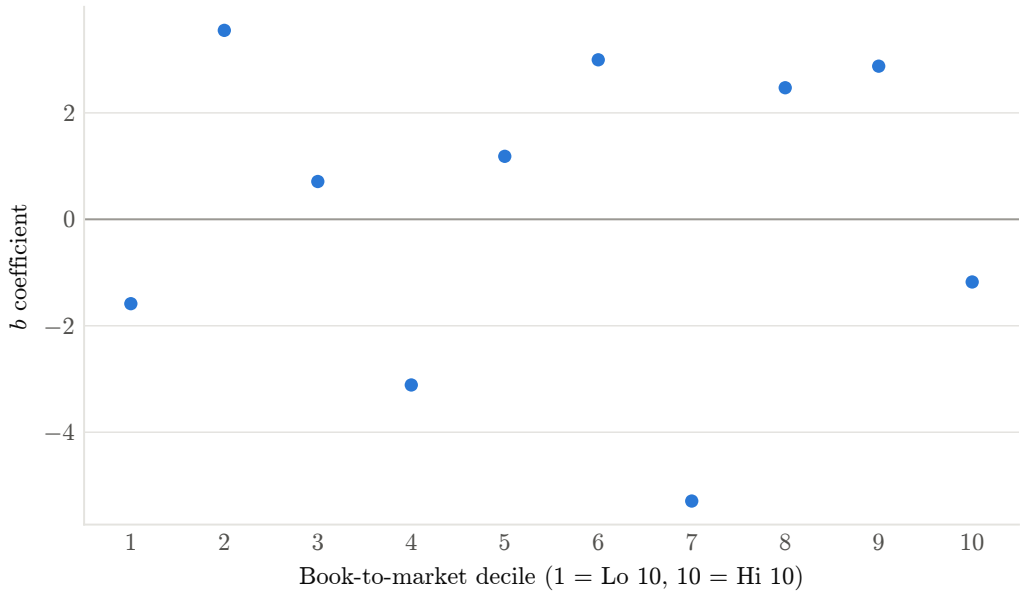

Figure 1: Coefficients b of the SDF $M_t^* = a - b'xR_t$ that prices the monthly excess returns of the 10 value-weighted book-to-market decile portfolios (July 1927 to August 2026), under the normalization $\widehat{\mathbb{E}}[M^*] = 1$. Excess returns are in decimal units.

2b)

Question 3

Question 4

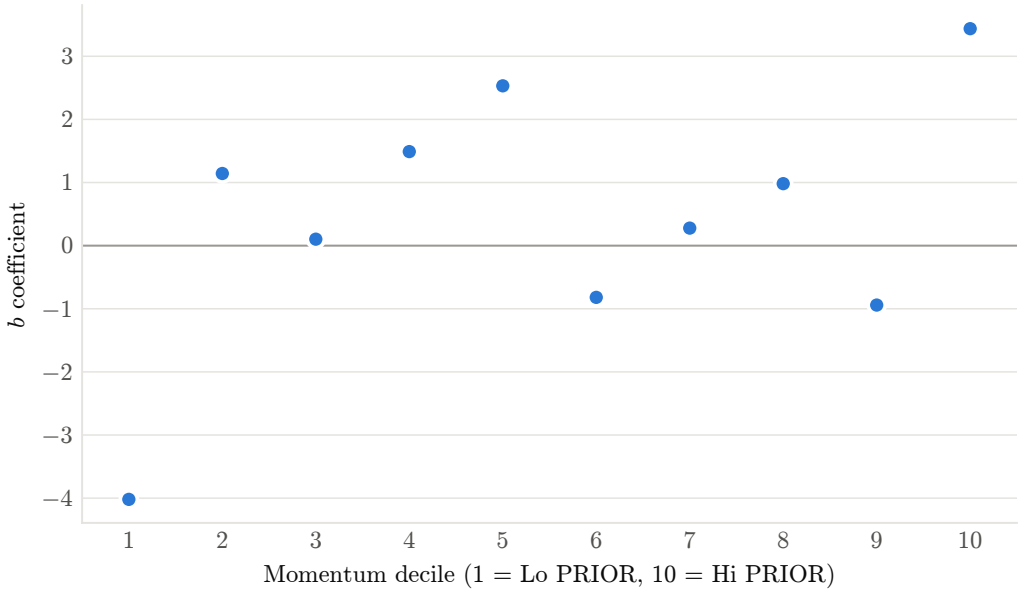

Figure 2: Coefficients b of the SDF $M_t^* = a - b'xR_t$ that prices the monthly excess returns of the 10 value-weighted momentum (prior 12–2 month return) decile portfolios (July 1927 to August 2026), under the normalization $\widehat{\mathbb{E}}[M^*] = 1$. Excess returns are in decimal units.